

PRICE ACTION MADNESS

PART THREE!

Starting 1900 CT tonight



Theo**TRADE**

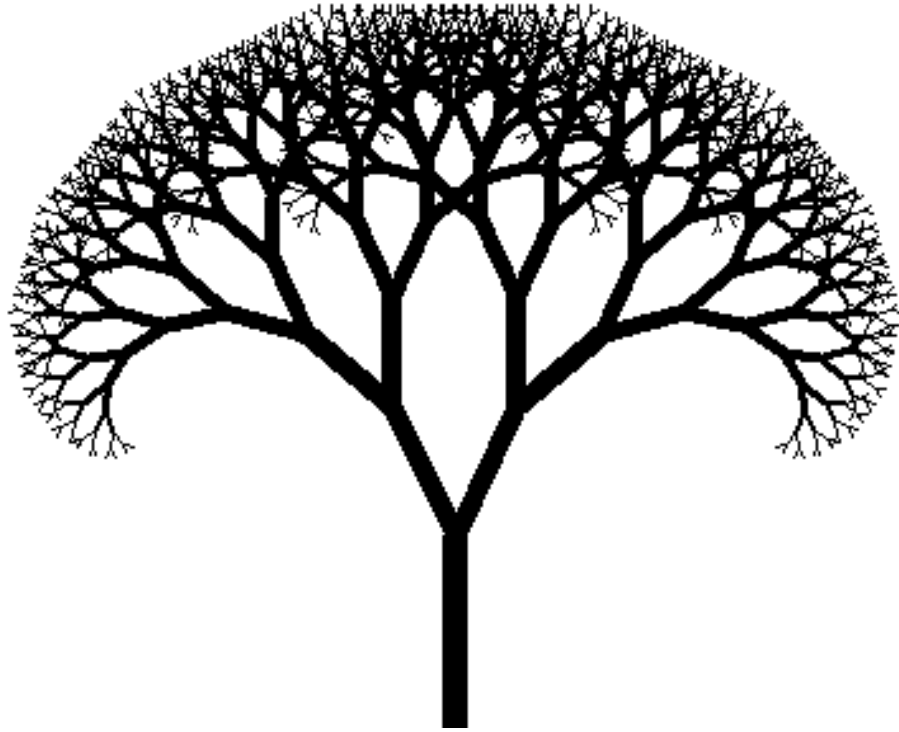
Goals for Tonight

- Continuing last week's "single timeframe" session on price action by adding multiple timeframes
- Focusing on rules/structure for fractal timeframe price action
- Questions

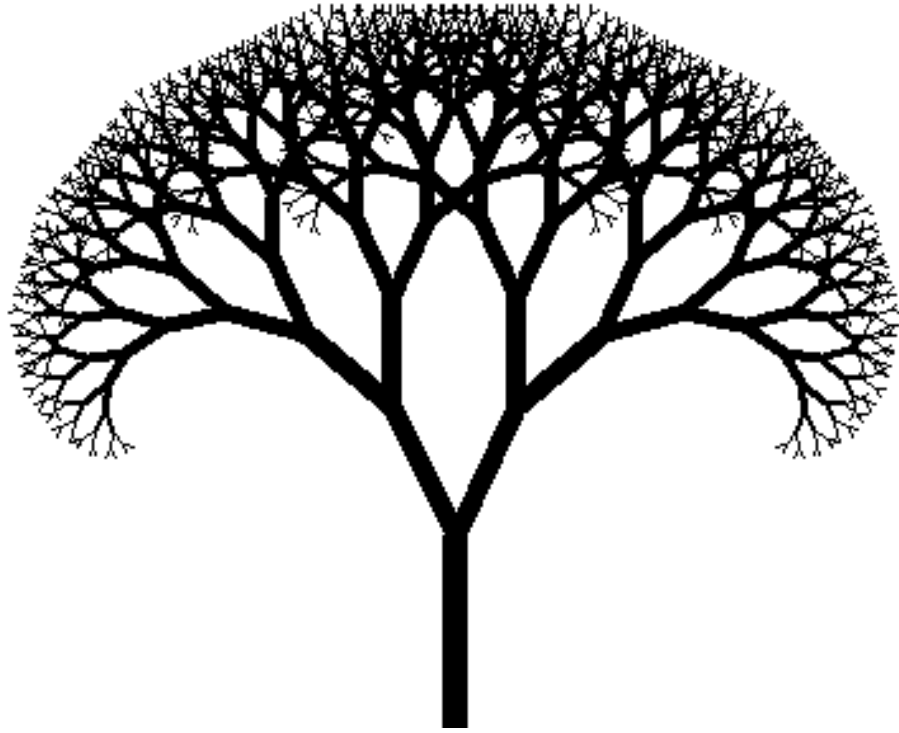
I: What are Fractals?

“Fractal” means that
larger things are really
made up of a collection of
identical smaller things.....

...with these “smaller”
things actually being
miniature versions of
larger things.



This entire tree is made up from a main trunk, main limbs, and smaller branches, going all the way out to the leaves at the very end.



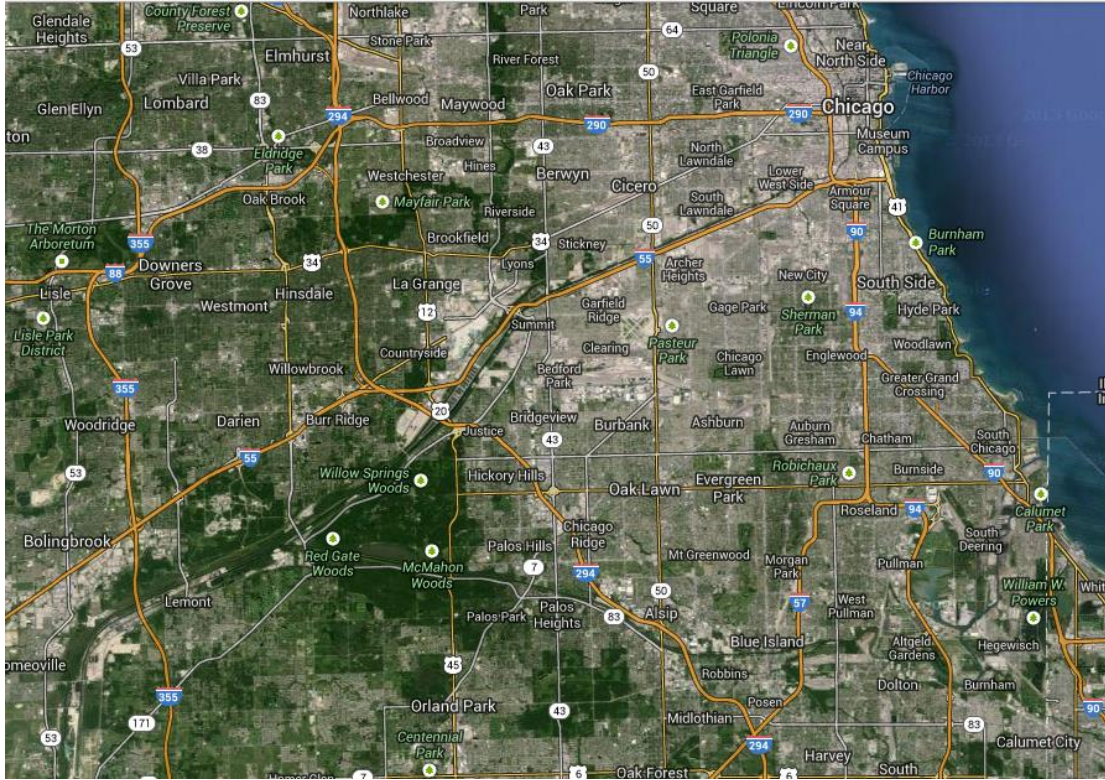
You can see in this picture how the larger “tree” is made up of many smaller, identical limbs, larger to smaller.



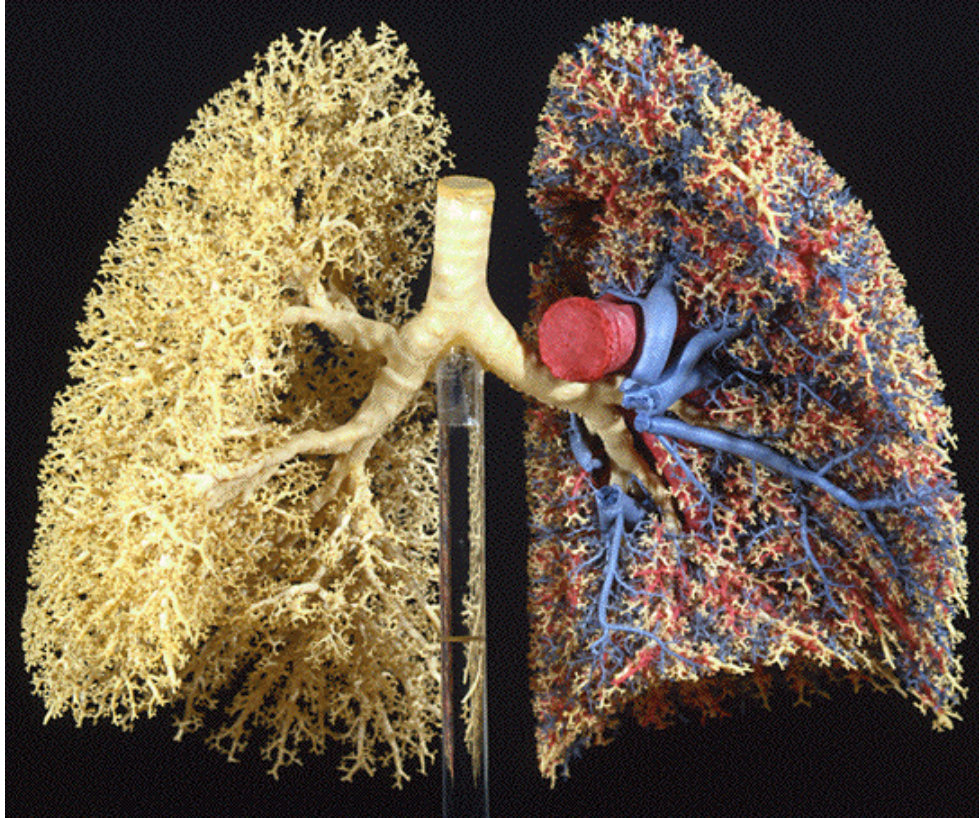
Each “cone” is made up from a series of progressively smaller, identical cones.



This Fern leaf is made up from a series of identical, progressively smaller fern leaves.



Even the roadway system is made up from a series of identical, progressively-smaller roads.



Our circulatory system is made up from the same type of Fractal structure.

If you think about it, Financial
Markets can also be
considered an “organism.”

It's made up from millions of individuals that collectively bind together to form an overall financial Market.

And as we'll see later, it
“breathes” and gets tired just
like a person.

And you'll also see how
financial Markets are
“Fractal” as well.

Section Summary

- Fractals are just smaller things that combine to create bigger things.....
- ...and each of the smaller things is identical in shape to the larger thing.
- We see these Fractal Relationships everywhere in Nature.
- And we'll also see them in Markets.

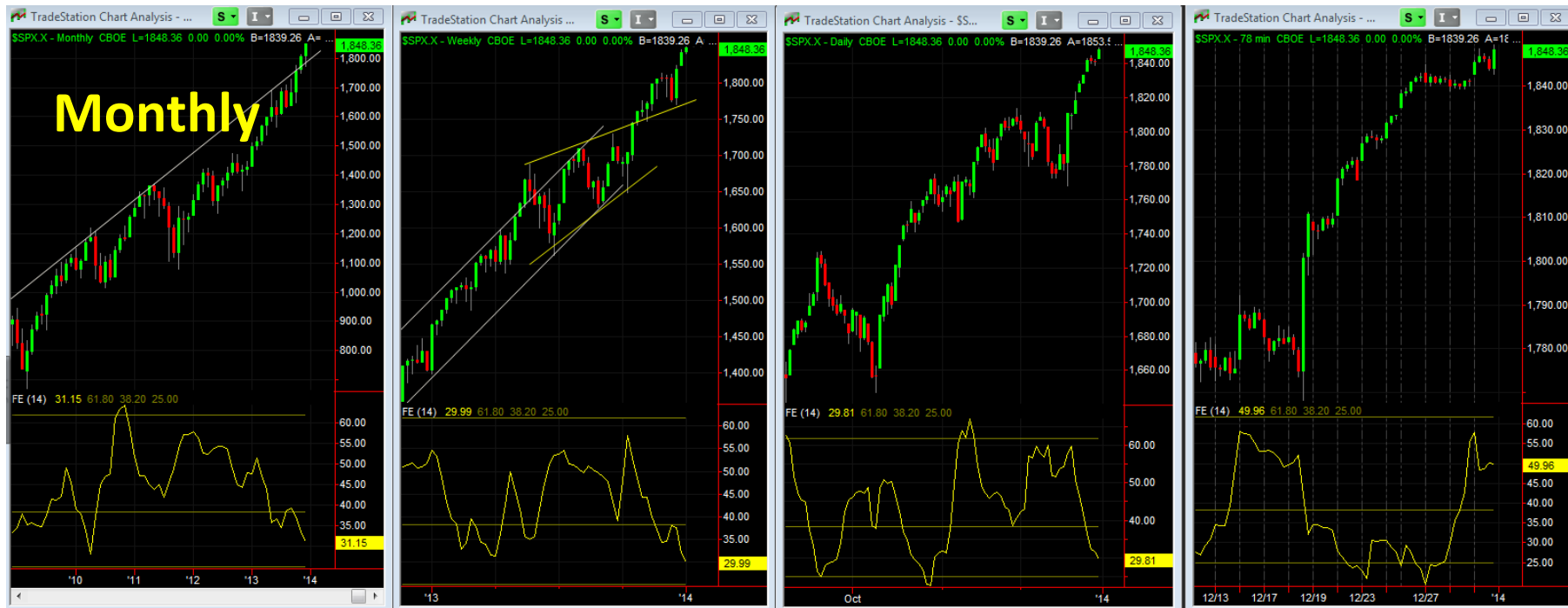
II: How do Fractals apply to Financial Markets?

Markets do the same thing as what we see in nature, creating “patterns within patterns” from smaller timeframes to larger ones.

Larger timeframe swings are comprised of several identical smaller-timeframe swings.

We use a “Factor of Five”
to break up the different
timeframes.

Fractal Timeframe Series



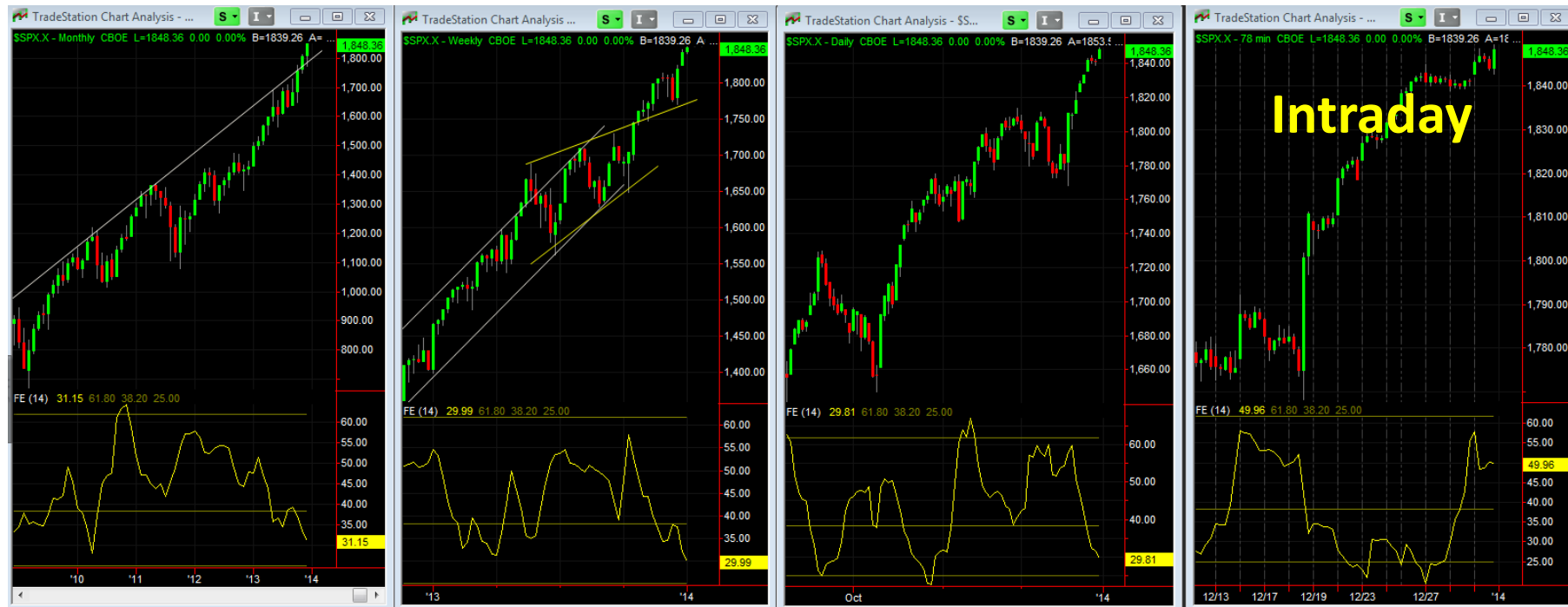
Fractal Timeframe Series



Fractal Timeframe Series



Fractal Timeframe Series



A Family of Timeframes



- Think of this as two “Parent” Timeframes (Monthly/Weekly)
- And two “Child” Timeframes (Daily/Intraday)

Let's see an example with three timeframes with the XLI (Industrials SPDR ETF).

XLI - Monthly ARCX

B=51.76 A=51.77

Hi=51.81 Lo=51.53 V=2,327,632

XLI SPDR Industrials

Monthly Chart

If we just
examine this
one swing on
the Monthly
chart.....



XLI - Weekly ARCX

B=51.77 A=51.78

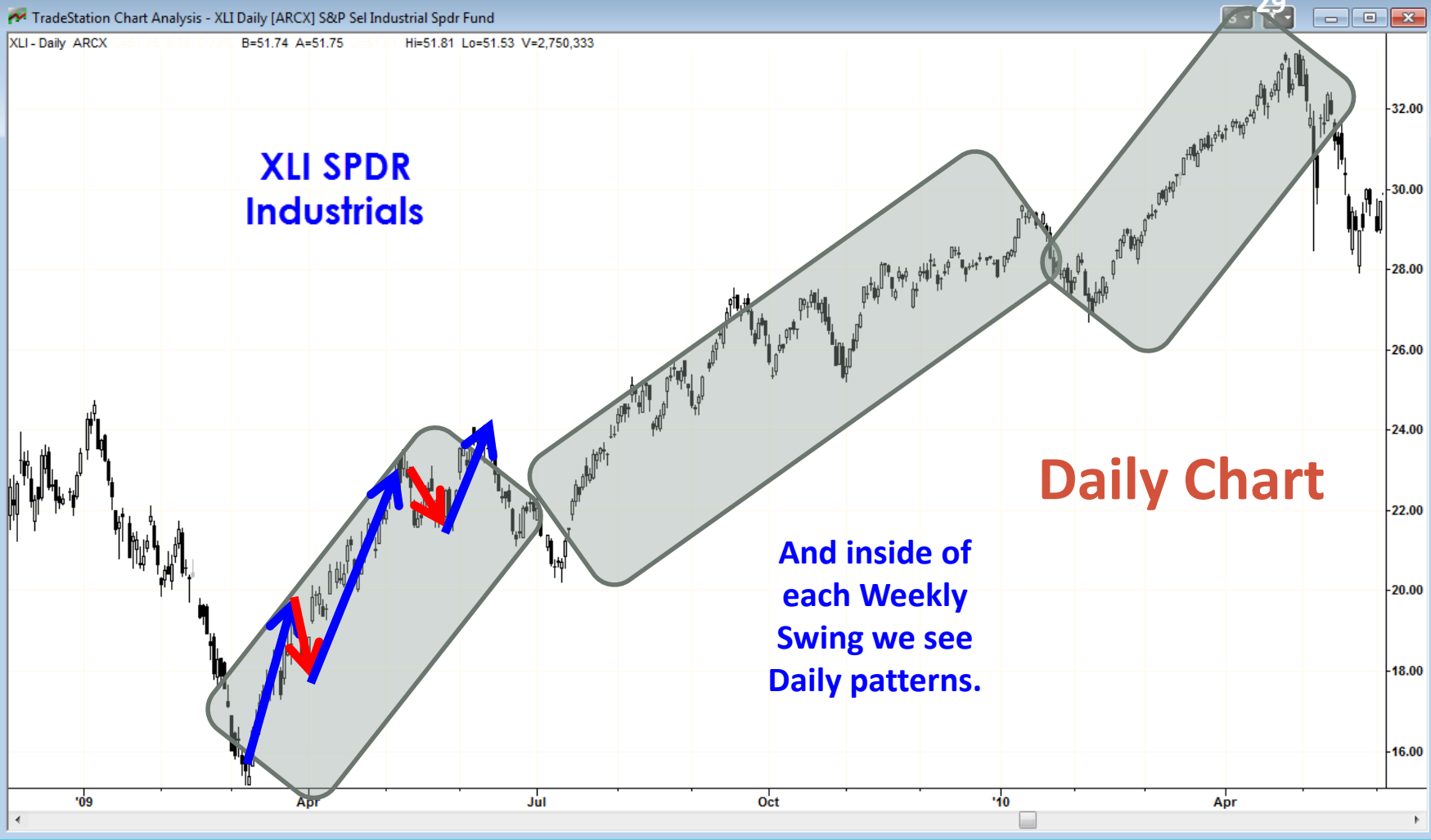
Hi=51.81 Lo=51.53 V=2,230,240

XLI SPDR Industrials

Weekly Chart

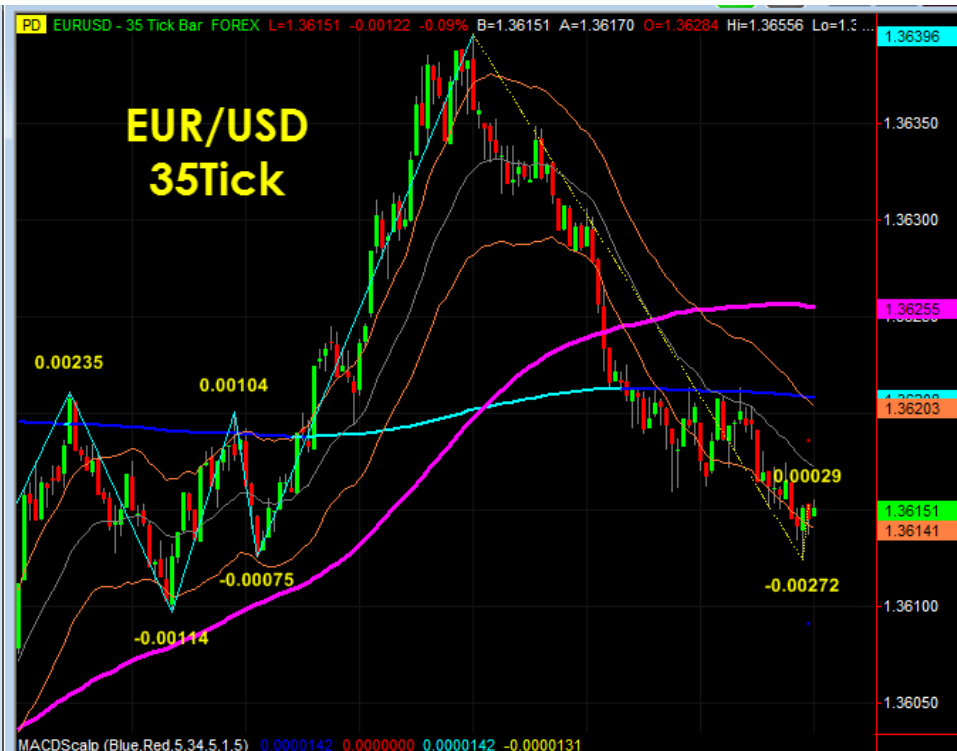
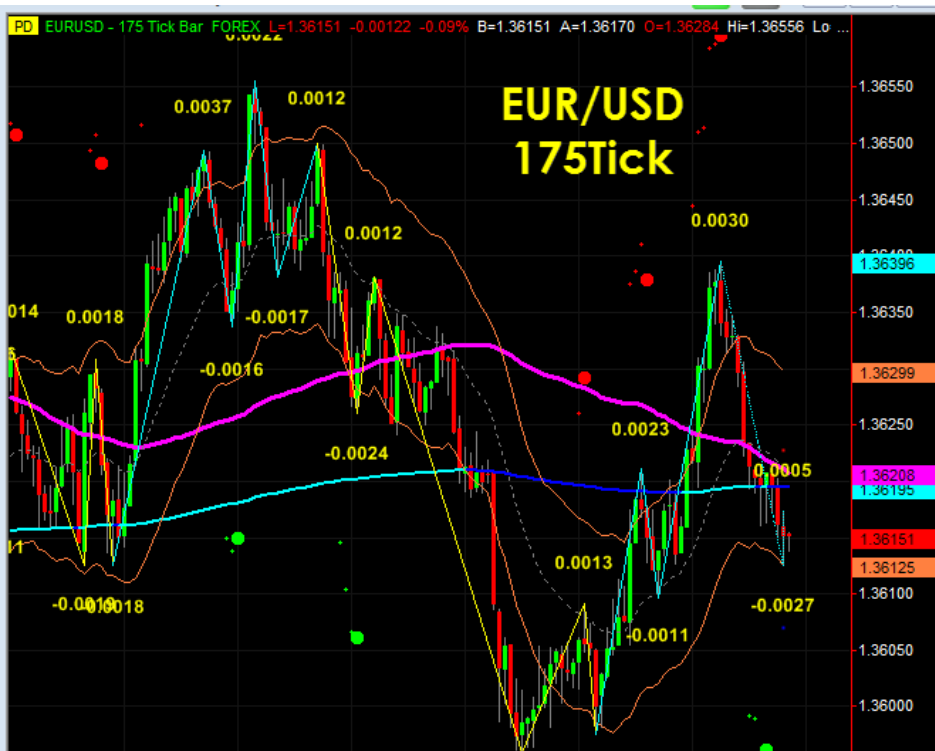
Notice how a
single swing
on the
Monthly chart
shows
“patterns” on
the Weekly
chart?





And we could split the Daily chart down to the next “5x” multiple, (78 min) and see the same patterns.

It doesn't matter what instrument, or how we view the chart....the 5x relationship is there.





For now I just want you to understand that Markets are **Fractal** and larger timeframe moves have smaller timeframe patterns inside of them.

As we move forward, we'll show how those smaller-timeframe patterns can clue you in to the actions of the larger timeframes.

Section Summary

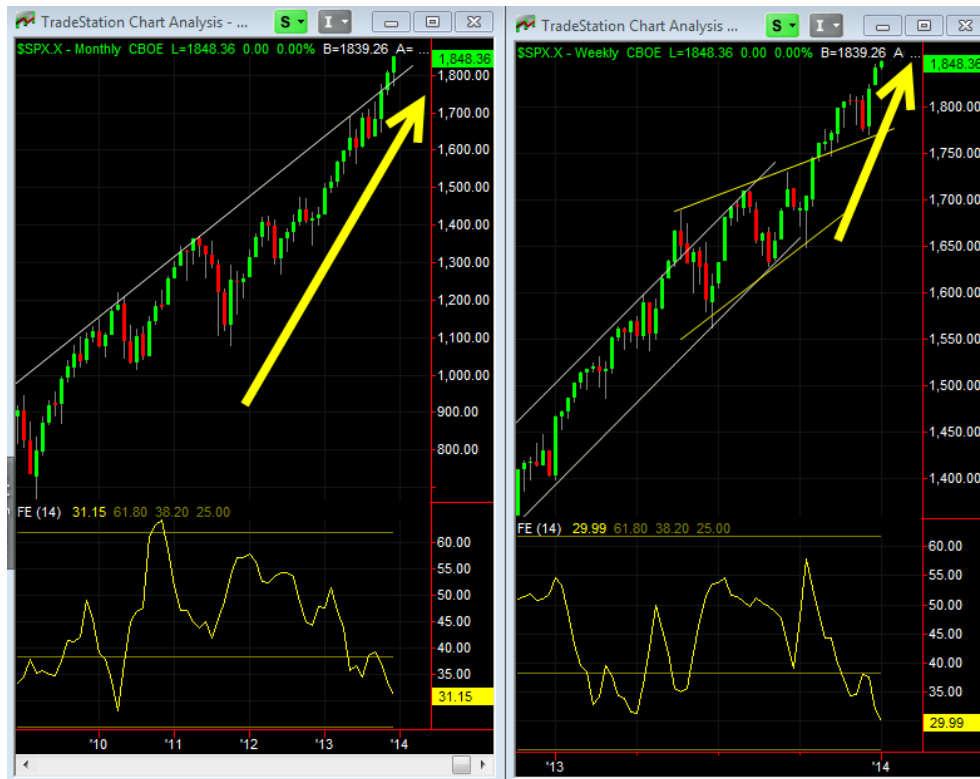
- Fractals are just smaller things that combine to create bigger things.....
- We define “bigger” and “smaller” with markets based on a 5x multiplier.
- And we often (but not always) see five distinct “waves” of the child timeframe inside one parent timeframe price swing.

III: Understanding Trends with Price Fractals

There are two major rules
for Price Fractals:

1) Larger Timeframes
establish and dominate
the trend.

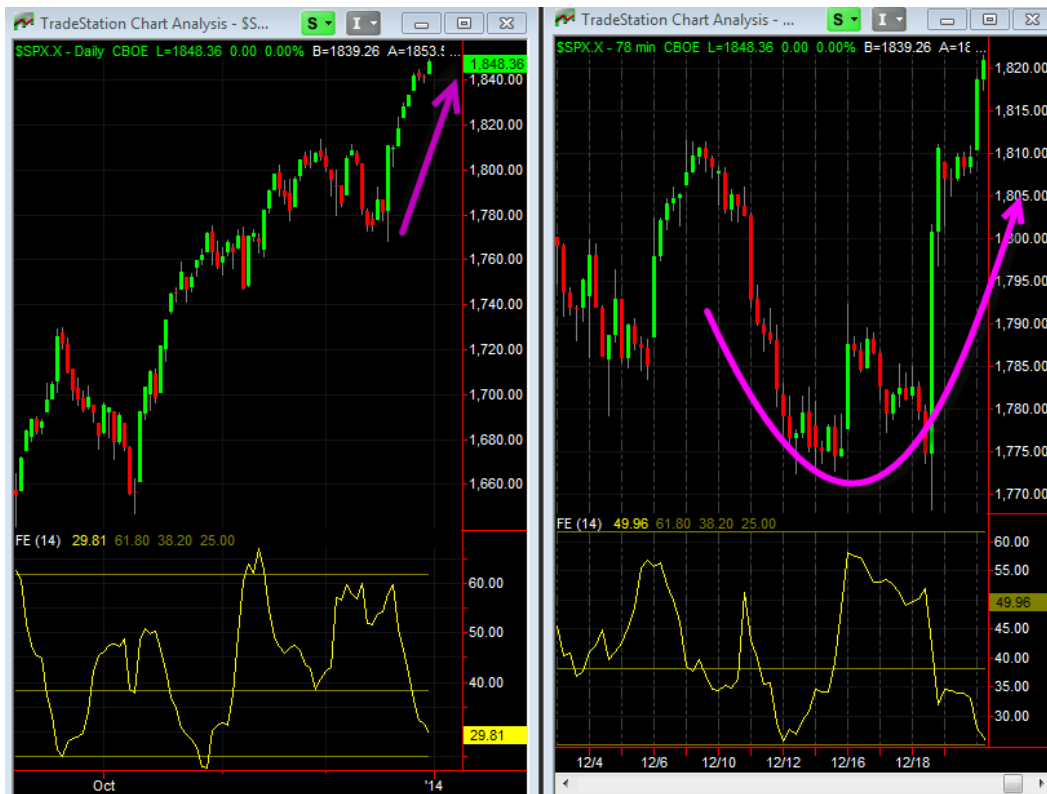
Larger Timeframes = Trend



The Monthly Chart, and to a smaller degree the Weekly Chart, establishes the main trend of the market.

2) Reversals start from the “inside-out” with smaller timeframes first, and propagate upwards.

Reversals Start Small



Reversals start from the very smallest timeframes, and “propagate” upwards.

By understanding the
trend condition at each
Parent/Child timeframe on
the chart.....

...I already have a much better sense of where the chart has been, and where it's likely to go.

In fact, I could use only a
Fractal Chart Series to
trade from if I had to.

Application 1: We will be able to differentiate a “pullback” on the daily chart vs. the beginning of a correction.

\$SPX.X - Daily CBOE L=1837.88 0.00 -0.00% B=1834.17 A=1838.86 O=0.00 Hi=0.00 Lo=0.00 V=0

Pullbacks....



...VS.
Corrections.

Application 2: We will be able
to read the “child”
timeframes to see when that
pullback is about to reverse.

TradeStation Chart Analysis - \$SPX.X 78 min [CBOE] S&P 500 Index

\$SPX.X - 78 min CBOE

B=1837.76 A=1838.67

Hi=1838.11 Lo=1831.40 V=449,296



Application 3: We will also be able to spot potential reversals before they “change polarity.”

\$SPX.X - Daily CBOE

B=1839.56 A=1840.38

Hi=1840.02 Lo=1831.40 V=555,157

Potential Reversals



Let's go back to our two main price action rules.

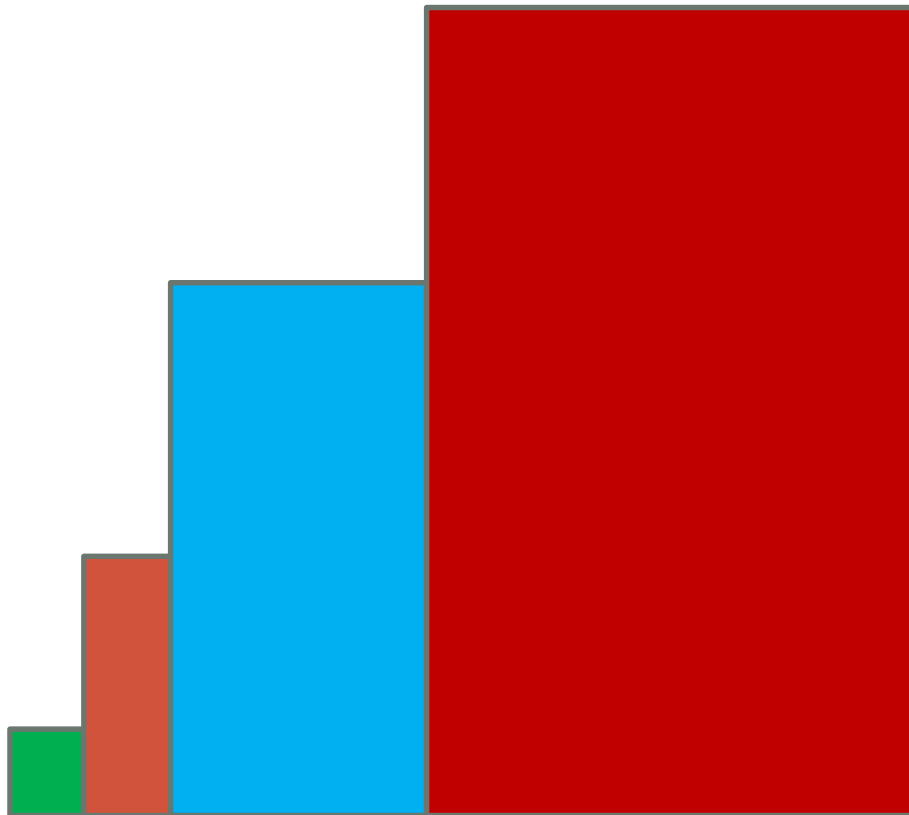
1) Larger Timeframes
establish and dominate
the trend.

This means when a larger “parent” timeframe trend is in play, you will see pullbacks on the “child” timeframes.

2) Reversals start from the “inside-out” with smaller timeframes, and propagate upwards.

This means that we'll see this "change in polarity" show up on the shorter timeframe charts first.

Fractal Reversals



- Trends/Reversals begin from the inside-out.
- The smallest **Intraday** timeframes will start the move.
- Followed by **Daily** timeframes, propagating to....
- **Weekly** Timeframe charts, and then finally....
- **Monthly** Timeframe charts.

Confused about what to do from here?



1) Define what your “signal” chart is. For swing traders, this will generally be a Daily chart. For Daytraders, this will be a smaller time-or-tick chart.

2) Add an “anchor” chart that is either 5x or 25x larger than your signal chart.

3) Trade your signal chart as before, but trade in the direction of the swings on that anchor chart!

4) Just stick to adding one additional timeframe for now. No need to add a full fractal series. Master that parent/child relationship first before adding more.

Let's move over to the charts for a quick example on the NQ....

Questions?